

South Korea: Tech-Driven Moderate Gain in July IP vs. Weak Services and Construction

Bottom line:

Headline IP gained marginally by 0.2% mom sa in July, after a strong 6.7% increase the prior month. The figure was slightly stronger than our forecast and consensus expectation. Tech production accelerated to 3.8% mom sa and contributed +0.9pp to headline momentum, but the gains were partly offset by weakness in non-tech sectors, including autos. Services output fell 1.3%, recording the sharpest contraction since early 2022, and retail sales dropped 2.4%. Indicators of investment were mixed. Overall output stayed almost flat after rising 2.4% the prior month.

Asia-Map score: 0 (5, 0)

5 out of 5 for relevance to growth

0 on a scale of -5 to +5 for surprise relative to consensus

Key numbers:

IP growth for July: +0.2% month-on-month, seasonally and work-day adjusted by the source; Bloomberg consensus: -0.5%; GS forecast: -1.0%; Previous: +6.7%.

Services output for July: -1.3% month-on-month (seasonally adjusted); Previous: +0.9%.

Main points:

1. Headline IP gained marginally by 0.2% mom sa in July (seasonally adjusted by the source), after a strong 6.7% increase the prior month ([Exhibit 1](#)). The figure was slightly stronger than our forecast and consensus expectation.
2. Tech production accelerated to 3.8% mom sa, up from 1.6% the prior month and contributing +0.9pp to headline sequential momentum. Among tech, semiconductor production slowed to 0.5%, but production of other electronic components (such as displays and printed circuit boards) accelerated sharply to 20.7%, reaching the strongest momentum in a year. Gains from tech were partly offset by weakness in non-tech sectors, including autos (-4.5%), other transport equipment (-5.0%) and electrical equipment (-2.8%).
3. The manufacturing inventory-to-shipment (I-S) ratio rebounded to 97.2 from 93.8 the prior month (seasonally adjusted by the source), reverting to the long-term average level since 2015 ([Exhibit 2](#)). The I-S ratio rose broadly across sectors, particularly in tech (including semiconductors), autos, metals, and fabricated metal products.

Irene Choi

+82(2)3788-1722 | irene.choi@gs.com
Goldman Sachs (Asia) L.L.C., Seoul
Branch

Goohoon Kwon, CFA

+852-2978-0048 |
goohoon.kwon@gs.com
Goldman Sachs (Asia) L.L.C.

4. The manufacturing capacity utilization index inched up to 105.3 from 105.1 the prior month (seasonally adjusted by the source), reaching its highest level since July 2022. The capacity utilization index for the tech sector rebounded after four months of declines.
5. Services output—accounting for more than half of GDP—fell 1.3% mom sa (seasonally adjusted by the source), recording the sharpest contraction since early 2022. Momentum was weighed down by financial services (-4.8%) as well as professional, scientific, and technical activities (-2.7%). Retail sales volume dropped 2.4% mom sa, almost fully offsetting the prior months' gains, on a pullback in sales of durable goods (-7.7%) as well as further declines in sales of semi-durable goods (-1.4%), reflecting the end of special automobile tax cuts and the promotion of electronic goods sales. Non-durable goods consumption stayed almost flat (-0.1%).
6. Indicators of investment were mixed. Equipment investment strengthened further to 7.5% mom sa, driven by a sharp rebound of 84.7% mom sa (non-annualized) in other transport equipment (ships and airplanes). Machinery investment also gained, albeit at a more moderate pace from the prior month at 4.2%. In contrast, construction fell 1.1%, pulling back after two months of increases. Momentum for volatile orders weakened, as equipment orders from domestic clients fell 22.8% and construction orders dropped 34.0%.
7. On a year-on-year basis, IP growth moderated to 3.6% (without workday or seasonal adjustment) from 6.0% last month ([Exhibit 3](#)). The contribution from external demand accounted for 70% of the year-on-year increases, up from the prior month and reaching the highest level since April.
8. Overall output stayed flat after a 2.4% mom sa gain the prior month. The cyclical component of the Composite Leading Index gained further by 0.4pp, reflecting sustained improvements in the terms of trade and domestic machinery demand.

Exhibit 1: Overall output stayed flat on weak services and construction

	Jul-26	Jun-26	May-26	Apr-26	Mar-26	Feb-26	Jan-26	Dec-25	Nov-25	Oct-25	Sep-25	Aug-25	Jul-25
mom sa%													
Overall output	0.0	2.4	-0.4	-0.5	0.4	2.1	-0.8	1.2	0.7	-2.2	1.2	-0.1	-0.3
Industrial Production	0.2	6.7	-3.0	-0.8	0.6	5.2	-2.4	1.9	1.1	-5.4	0.3	1.6	-0.8
Service output	-1.3	0.9	1.0	-0.8	1.5	0.5	-0.2	0.8	0.5	-0.3	1.8	-0.6	-0.2
Construction	-1.1	4.2	3.3	-2.8	-5.9	11.1	-7.8	4.5	1.8	-6.6	1.9	-3.9	-2.3
yoy %													
Industrial Production	3.6	6.0	-1.1	1.3	3.8	-2.3	6.8	1.6	0.0	-7.6	14.4	2.2	6.9
Manufacturing													
Production	3.9	6.3	-1.2	1.4	4.1	-2.0	6.8	1.7	0.1	-7.7	15.2	2.3	7.0
Shipment	2.2	4.4	-4.3	-1.4	3.3	-4.1	8.5	-0.9	0.7	-7.9	9.5	0.5	5.1
Domestic	1.1	3.9	-5.2	-4.2	1.7	-9.7	5.2	-1.7	-3.9	-13.2	7.3	-2.3	0.6
Exports	3.1	5.1	-3.2	1.9	5.2	2.5	12.3	-0.4	6.2	-1.2	11.8	4.2	11.1
Inventory	6.4	3.3	1.8	-0.3	-1.4	1.7	-4.1	-3.9	-8.2	-7.7	-5.1	-8.3	-7.5
Service output	3.5	5.4	4.6	3.8	5.4	2.2	4.7	3.5	2.5	0.5	6.6	0.8	2.3
Construction	-3.2	-4.3	-3.7	-6.6	-5.6	-5.9	-7.0	-6.4	-16.6	-24.6	-3.8	-17.7	-14.1
Equipment Investment	24.9	22.5	9.3	7.6	9.8	6.5	13.6	-12.2	-0.3	-4.4	11.5	-2.5	-5.2

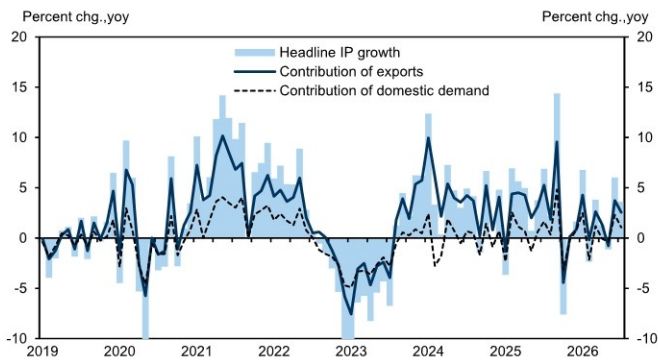
Source: Korea Statistics Office

Exhibit 2: Manufacturing inventory-shipment rebounded in July



Source: Korea Statistics Office

Exhibit 3: YOY growth moderated in July



Source: Korea Statistics Office

Disclosure Appendix

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Contributing Authors: Irene Choi Goldman Sachs (Asia) L.L.C., Seoul Branch, Goohoon Kwon, CFA Goldman Sachs (Asia) L.L.C..

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